LFB HOLDINGS

Decision Distortion Assessment Reports

BASE REPORT

Your Decision Distortion Assessment — Bias Is Your Dominant Force

Your assessment is in. Of the four forces that bend organizational judgment under pressure, bias is showing up most actively in your company right now.

Of the four forces — noise, bias, accumulation, and incentive misalignment — bias is the one that moves in a single direction. Noise scatters conclusions randomly; accumulation builds through the weight of individually-defensible decisions; incentives govern the rate at which either compounds. Bias does something different: it systematically bends judgment toward a predictable conclusion before the evidence has had a real chance to land. That consistency is what makes it compound rather than cancel — and what makes it nearly invisible from inside the organization experiencing it.

What bias is

Bias is systematic directional error: judgment pushed consistently in a predictable direction regardless of the evidence. It operates through a mechanism Kahneman calls WYSIATI — What You See Is All There Is. The fast cognitive system constructs coherent, confident narratives from whatever information is available without registering what's absent. The resulting confidence feels warranted because the narrative is internally consistent — not because the underlying judgment is accurate.

Four forms show up most in venture-backed companies. Overconfidence — systematically underestimating implementation complexity, competitive response, and time to revenue. Confirmation bias — weighting evidence that supports the current thesis and discounting evidence that doesn't, often without awareness that the filtering is happening. The planning fallacy — building timelines and resource plans from the inside out, ignoring the base rate of what typically happens to companies at this stage. And escalation of commitment — continuing in a direction past the point where the evidence supports it, because stopping means realizing the original call was wrong.

What these forms share: they don't look like errors from inside. They look like clear thinking, conviction, and pattern recognition.

How it typically shows up

A Series B company raised on a strong enterprise thesis. Early pilots look promising. Six months in, renewal conversations come back soft — not bad, not good, but not what the model assumed. The team reads the softness as implementation friction, as a sales motion problem, as a product gap that can be closed. Each explanation is plausible. Each explanation directs resources toward fixing the thesis rather than questioning it. Twelve months later the renewal data is unambiguous. But the company has built an enterprise sales team, a customer success function, and a product roadmap all oriented around a thesis the market has been declining to confirm since month six.

Overconfidence set the original projections. Confirmation bias filtered the early signals. Escalation of commitment kept the machine running after the signals cleared. None of it looked like bias at the time. It looked like execution.

Where your assessment is pointing most clearly within bias is on unknown unknowns — the risks that experience hasn't equipped the team to recognize. The question your assessment flagged is whether your organization has a deliberate practice of looking for what it can't see through its own accumulated pattern-matching. This is WYSIATI operating at the level of an organization's entire experiential history: the fast system can only construct narratives from what it has already encountered, which means it consistently underweights — or entirely misses — risks that fall outside the team's domain of experience. Regulatory exposure, supply chain fragility, competitive dynamics in adjacent markets, second-order customer behavior — these tend to surface late not because they were hidden but because the team's existing framework wasn't designed to look for them. The intervention is deliberate and structured: before significant commitments, explicitly ask what experienced people outside the company's domain would see that insiders are missing.

Where to start

The first intervention is a structured outside perspective before any significant commitment. Before a major decision closes, explicitly ask what an experienced person from a different domain — different industry, different functional background, different market context — would see that the team is missing. Not as a courtesy check. As a required input with a named person attached to it. The goal is to generate the category of risk the team's existing pattern-matching isn't designed to find, not to validate the risks it has already identified.

The second is a pre-mortem focused specifically on unfamiliar failure modes. Before committing, the room spends twenty minutes on a single question: how does this fail in a way we haven't seen before? Not the familiar failure modes — those are already in the analysis. The ones that don't come to mind easily are the ones this exercise is designed to surface. What's outside our experience? What have we never had to navigate? Where does our pattern recognition have no data? The discomfort of the question is the point — if the answers come easily, the exercise isn't working.

The research behind this

The academic foundation for what your assessment detected comes primarily from Thinking, Fast and Slow by Daniel Kahneman — the foundational account of how the fast cognitive system generates systematic directional errors that the slow, corrective system is too depleted or inattentive to catch. The WYSIATI mechanism, the planning fallacy, confirmation bias, and escalation of commitment are all documented there in detail. The insight that matters most for your situation: bias rarely feels like bias from the inside, because the narrative it produces is internally coherent. Coherence is not accuracy.

What's next

The full Decision Distortion whitepaper from LFB Holdings walks through how bias combines with the other three forces — noise, accumulation, and incentive misalignment — and how to locate the specific points in your decision process where a single closed gap would have the greatest effect.

If you'd like to talk through what your results mean for your company specifically, we're glad to do that.

LFB Holdings: lfbholdings.com

For ongoing case-by-case analysis of how these forces operate in real organizational decisions, Bad Call is a subscription brief that applies this framework to actual decision sequences — company autopsies, one at a time. **Bad Call:** badcall.ai